

Contestant Number: _____

Time: _____

Rank: _____



PERSONAL FINANCIAL MANAGEMENT (165)

STATE 2021

Multiple Choice:

30 @ 2 points each _____ (60 points)

Short-Answer Problems:

19 @ 3 points each _____ (57 points)

TOTAL POINTS _____ (117 points)

Test Time: 60 minutes

GENERAL INSTRUCTIONS

The number of decimal places used in calculations and in the reporting of your answers is very important. Below are guidelines to use as you take this test. If a problem varies from these guidelines, it will be noted in the problem.

PERCENTAGE PROBLEMS

- Round to the nearest tenth when working with percentages.

Example: Use 2.3% NOT 2%

Example: An answer of .9638 should be written as 96.4%

INTEREST

- All interest rates are stated in one-year simple interest, *unless otherwise noted*.
- Interest is to be calculated on 360 days.

DOLLAR AMOUNTS

- All dollar amounts must be rounded to the second place (nearest cent).

Example: \$35.9765 to \$35.98

Multiple Choice – 2 points each

1. Of the various forms of corporate dividends, which is the *most* common form companies use to reward shareholders?
 - a. Stock
 - b. Liquidating
 - c. Equity
 - d. Cash
2. Chris recently inherited a significant amount of money and wants to invest it for the future. However, he is *not* familiar with the stock market and is interested in putting his money in a mutual fund. He likes the idea of investing a little bit in everything across the stock market. Which of the following types of mutual funds should he consider?
 - a. Sector
 - b. Fixed Income
 - c. Index
 - d. Balanced
3. Many experts suggest that at different stages of your life you should have a multiplier of your current income saved up for retirement. Which is the suggested multiplier if you are 60?
 - a. 1 times your annual income
 - b. 3 times your annual income
 - c. 5 times your annual income
 - d. 8 times your annual income
4. The interest-to-principal ratio found on most payments does *not* change over life of the loan.
 - a. True
 - b. False
5. “Capital gains” is the term used to describe how much profit was realized on the sale of an asset. For tax purposes, when are capital gains actually calculated?
 - a. Every time you sell an investment for a profit.
 - b. Annually when you file taxes.
 - c. Any time an investment is sold, whether it makes a profit or not.
 - d. It depends on the type of investment.
6. Jose is thinking about taking his family on a trip to Disney World, and he thinks driving would be cheaper than flying. His car gets good gas mileage (22 mpg,) and it is about 700 miles from his house to the park. If the average gas price along the way is \$1.95, about how much would it cost him to drive on this trip?
 - a. About \$125
 - b. About \$150
 - c. About \$135
 - d. About \$110

7. Buying and selling individual stocks is the *only* way to make money from the stock market.
 - a. True
 - b. False
8. Fraud alerts can be put on a person's credit report if there is concern over identity theft. However, once in place, a fraud alert must stay on the report for a minimum of _____.
 - a. 14 days
 - b. 90 days
 - c. 6 months
 - d. 1 year
9. Which of the following will *most* likely lead to long-term budgeting success?
 - a. Track your spending, and adjust it when you need extra money.
 - b. Adjust your spending habits after you establish the habit of budgeting.
 - c. Adjust your spending habits first, then build your budget off your new habits.
 - d. Create a budget based on a dramatic change to shock you into better spending habits.
10. I recently invested some money into a mutual fund. I bought 3.5% of the fund's total outstanding shares at a cost of \$29.75 per share. What is the Net Asset Value (NAV) per share of the mutual fund?
 - a. \$1.04
 - b. \$30.00
 - c. \$850.00
 - d. It depends on how many companies the mutual fund represents.
11. Which of the following *best* describes what an insurance *rider* is?
 - a. It is the term used to describe the duration of an insurance policy.
 - b. It refers to any additional provisions that add coverage to a traditional policy.
 - c. It is the term used for the cost of purchasing an insurance policy.
 - d. It refers to the amount of money paid by an insurance company towards a claim.
12. Which of the following *best* describes the difference between a soft and hard credit inquiry?
 - a. A hard inquiry happens whenever your score is generated, whereas, a soft inquiry is when a lender just looks at your report.
 - b. Although both get reported, soft inquiries help your credit whereas hard ones hurt it.
 - c. Soft inquiries only stay on your report for two years, whereas, hard inquiries stay on your credit report for a minimum of seven years.
 - d. Hard inquiries are when your entire report is pulled for the purpose of obtaining new debt, whereas, soft inquiries happen when a financier just looks at your score.
13. What is the primary difference between a 403 (b) retirement account and a 401 (k)?
 - a. The type of organization you work for
 - b. The amount you can invest
 - c. The way they are taxed
 - d. The age you can start using them

14. Baz is a pretty conservative investor. He has recently been considering investing in mutual funds and is particularly interested in one that would primarily focus its investment portfolio in securities such as government bonds. In which of the following types of mutual funds is Baz *most* likely considering investing?
- Fixed Income
 - Money Market
 - Balanced
 - Index
15. During retirement *most* people have no debt, so you don't need to have as much money available then as you do in other times during life.
- True
 - False
16. Daniella has owned a stock in many companies for about five years and decides to sell some of them in order to have a down payment for a house. Which of the following scenarios would *most* likely ensure that she would have the *lowest* capital gains tax obligation?
- If she sold the shares from each company within 6 months of each other.
 - If her income tax bracket was the lowest tax bracket.
 - If she made more money at her job than from selling the shares.
 - If she sold all of the shares she owns.
17. Which of the following *best* describes the primary benefit for diversifying an investment portfolio?
- Protecting against an economic recession
 - Protecting against undervalued stock prices
 - Protecting against a total financial loss
 - Protecting against any financial losses
18. Typically, the color of your car will raise your insurance premiums.
- True
 - False
19. In order to be eligible for bankruptcy, a person must complete credit counseling at least _____ days before filing.
- 30
 - 60
 - 90
 - 180
20. Darrel grew up in Texas in a small town that was built on oil drilling. As a result, he tends to like to invest in the oil industry as a whole. What type of mutual fund would be good for him if he wants to focus his investments on specific industries within the market?
- Index
 - Money Market
 - Sector
 - Fixed Income

21. Renter's insurance is *usually* less expensive than homeowner's insurance.
- True
 - False
22. Using a credit card regularly actually helps raise your credit score. However, having too high of an outstanding balance will lower your score. What is the maximum balance (in terms of a percent of your revolving credit limit) you can have before it starts to damage your credit score?
- 30%
 - 50%
 - 75%
 - It depends on how old the account is.
23. Janicia is planning to pay an extra \$50 each month toward her car loan to pay it off faster. How much of that \$50 will go toward the principal amount of her debt, and how much goes toward interest?
- The same ratio as that month's regular payment
 - It depends on the bank
 - 50/50 split
 - 100% to principal
24. Tau made a purchase online using his debit card. Afterwards, he logged onto his bank account and noticed that the charge was already posted. Which of the following is the term used to describe debit transactions that post to an account immediately?
- Credit Posting
 - Point-of-Sale
 - Electronic Funding
 - Instant Debit
25. You purchased 50 shares of Reed Corp stock on June 14 @ \$32.14. The stock was sold on February 3 the following year @ \$36.90. What was the return on your investment?
- 4.8%
 - 12.9%
 - 14.8%
 - 87.1%
26. Dividends are payouts received as an owner in a company and can come in many forms. Which type of dividend is *not* taxed at any point after disbursement?
- Equity
 - Cash
 - Liquidating
 - Stock

27. Which of the following *best* describes the biggest advantage of a Health Savings Account (HSA) versus a Flex Spending Account (FSA)?
- a. There is no maximum contribution.
 - b. There is no minimum contribution.
 - c. Employers can only contribute to HAS accounts.
 - d. All unused funds roll over from year-to-year.
28. Typically, who is responsible for paying the mortgage, taxes, and maintenance of rental properties?
- a. Renters are responsible for all three.
 - b. Owners are responsible for all three.
 - c. Renters are responsible for maintenance; owners pay taxes and mortgage.
 - d. Owners are responsible for taxes; renters pay maintenance and mortgage.
29. Donavan finally traded in his 1996 station wagon for a new car. The dealer gave him \$500 in trade-in value, and he was able to negotiate his new car price for \$12,300. If the tax rate where he lives 6.5%, how much will he have to pay in sales tax?
- a. \$767.00
 - b. \$799.50
 - c. \$832.00
 - d. \$846.50
30. The amount an insured is expected to pay at the time of receiving medical services is ____.
- a. the co-pay
 - b. a deductible
 - c. the premium on the policy
 - d. reimbursed by the insurance company

Short-Answer Problems – 3 points for each answer

1. Roark invests \$1,500 in a 3-year, 4% CD that compounds interest semi-annually. Calculate the interest at each compounding period, and then determine the maturity value for the CD.

- a. Period 1 _____
- b. Period 2 _____
- c. Period 3 _____
- d. Period 4 _____
- e. Period 5 _____
- f. Period 6 _____
- g. Maturity Value _____

2. Jalen owned three different stocks at the beginning of 2020, Atlantis Co., Brick & Mortar Inc., and Dragonfly Inc. Throughout the year, he sold his stake in each of the three companies. Specific information for each stock is shown below:

Atlantis - 20 shares, bought for \$350 per share, sold for \$375 per share
Brick & Mortar - 30 shares, bought for \$85 per share, sold for \$155 per share
Dragonfly - 50 shares, bought for \$15 per share, sold for \$35 per share

- a. How much did Jalen spend on buying the three stocks combined?

- b. How much did Jalen receive from selling all three of the stocks combined?

- c. What was the dollar gain on his investment in Atlantis Co.? _____
- d. What was his percentage return on Dragonfly Inc.? _____
- e. What was Jalen's aggregate percentage return on investment? _____
- f. Assuming Jalen pays a 15% capital gains tax, what will he owe in taxes for the year from his sale of the stocks? _____

3. On November 12, 2020, you signed a 4.3%, 120-day, \$10,750 note with 1st State Bank to fund needed repairs on your house.
- How much interest will you be able to deduct on your 2020 tax return from the 120-day note? _____
 - What is the maturity date of the note? _____
 - What is the maturity value? _____
4. Use the following income tax table to answer the questions below.

2019 Federal Income Tax Brackets

<u>Tax Rate</u>	<u>Single Filers</u>	<u>Married: Filing Jointly</u>
10%	\$0 - \$9,700	\$0 - \$19,400
12%	\$9,700 - \$39,475	\$19,400 - \$78,950
22%	\$39,475 - \$84,200	\$78,950 - \$168,400
24%	\$84,200 - \$160,725	\$168,400 - \$321,450
32%	\$160,725 - \$204,100	\$321,450 - \$408,200
35%	\$204,100 - \$510,300	\$408,200 - \$612,350
37%	+\$510,300	+\$612,350

- What is the tax obligation of a married couple filing jointly whose taxable income is \$135,020? _____
- What is the tax obligation of a single individual with taxable income of \$89,415?

- What is the refund owed to an individual that had taxable income of \$34,650 and paid \$4,582 in taxes over the year? _____